

Netflix Inc. (NFLX)

Q2'26 Earnings Review: Management Team Focused on Compounded Revenue, Margin Trajectory & Capital Allocation; Investor Debates Likely to Persist

NFLX	12m Price Target: \$94.00	Price: \$74.35	Upside: 26.4%
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Netflix's Q2'26 earnings report and management commentary reflected a few key themes: a) a reiteration of the FY Revenue guide and Operating Income margin target as the company emphasized their own focus on annualized budgeting and operating performance as the strongest measure of the platform's strength and positioning; 2) 1H 2026 engagement was inline vs our expectations (as opposed to investor concerns that it might decline that we heard over the past few weeks); 3) the company emphasized their focus on quality engagement (as internally defined) and provided examples of how incremental content growth in newer formats have been stimulative of audience growth); 4) emphasized that market opportunity remains in front of the company in terms of member growth and time spent (relative to media viewership globally), & the ad supported effort (where our own work has painted a rising picture of tailwinds building in the business through 2026); & 5) focusing on key priorities in terms of managing the company's capital structure and allocating capital to shareholder returns. On the debates around engagement metrics and allocating toward inorganic growth, the company likely did not extinguish what have been very volatile investor debates in the past few months and perception/reality on both issues will likely be a driver of short-term stock volatility intra-quarter.

Looking over the long-term (while acknowledging where the stock sits and the debates reside), we remain constructive on NFLX on the back of our work that is supportive of user/member growth, pricing power (to address value delivered to members), a rising ad supported revenue stream, a balance of content investments, capital returns and a high bar for M&A. We expect management to remain focused on: a) the execution of a strong content slate across TV/movies and returning/original IP; b) continuing to scale forward operating margins while also staying focused on investing in various growth initiatives; & c) the continued scaling of the ad supported tier (with key tech investments and partnerships likely setting the

BUY

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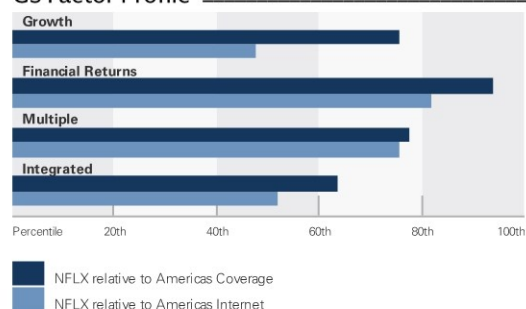
Key Data

Market cap: \$316.8bn
Enterprise value: \$321.7bn
3m ADTV: \$3.5bn
United States
Americas Internet
M&A Rank: 3

GS Forecast

	12/25	12/26E	12/27E	12/28E
Revenue (\$ mn) New	45,183.0	51,347.1	57,872.4	64,894.3
Revenue (\$ mn) Old	45,183.0	51,664.2	58,593.9	65,816.3
EBITDA (\$ mn)	14,647.4	17,050.0	20,147.6	23,512.4
EBIT (\$ mn)	13,326.6	16,182.8	19,173.8	22,456.5
EPS (\$ New)	2.53	3.58	3.82	4.64
EPS (\$ Old)	2.53	3.60	3.94	4.89
P/E (X)	43.4	20.8	19.4	16.0
Dividend yield (%)	—	—	—	—
Net debt/EBITDA (X)	0.4	0.3	0.2	(0.1)
	6/26	9/26E	12/26E	3/27E
EPS (\$)	0.80	0.82	0.73	0.89

GS Factor Profile



Source: Company data, Goldman Sachs Research estimates.
See disclosures for details.

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BUY

Netflix Inc. (NFLX)

Rating since Apr 5, 2026

Ratios & Valuation

	12/25	12/26E	12/27E	12/28E
P/E (X)	43.4	20.8	19.4	16.0
EV/EBITDA (X)	32.2	18.5	15.1	12.3
EV/sales (X)	10.4	6.1	5.3	4.5
FCF yield (%)	2.0	4.2	4.4	5.5
EV/DACF (X)	41.7	20.4	19.9	15.9
CROCI (%)	37.1	49.7	45.4	50.1
ROE (%)	42.8	52.9	48.0	46.6
Net debt/EBITDA (X)	0.4	0.3	0.2	(0.1)
Net debt/equity (%)	20.4	15.8	11.1	(7.3)
Interest cover (X)	17.2	17.9	22.2	27.9
Inventory days	NM	NM	NM	NM
Receivable days	NM	NM	NM	NM
Days payable outstanding	14.1	13.3	13.3	13.5

Growth & Margins (%)

	12/25	12/26E	12/27E	12/28E
Total revenue growth	15.9	13.6	12.7	12.1
EBITDA growth	27.1	21.6	18.5	17.0
EPS growth	27.5	41.6	6.8	21.5
DPS growth	NM	NM	NM	NM
Gross margin	48.5	50.4	51.8	53.1
EBIT margin	29.5	31.5	33.1	34.6

Price Performance



Income Statement (\$ mn)

	12/25	12/26E	12/27E	12/28E
Total revenue	45,183.0	51,347.1	57,872.4	64,894.3
Cost of goods sold	(23,275.3)	(25,468.4)	(27,869.5)	(30,465.8)
SG&A	(8,581.1)	(9,696.0)	(10,829.1)	(11,971.9)
R&D	—	—	—	—
Other operating inc./exp.)	—	—	—	—
EBITDA	13,660.0	16,616.5	19,692.4	23,034.5
Depreciation & amortization	(333.4)	(433.7)	(518.6)	(578.0)
EBIT	13,326.6	16,182.8	19,173.8	22,456.5
Net interest inc./exp.)	(776.5)	(902.1)	(863.8)	(805.5)
Income/(loss) from associates	—	—	—	—
Pre-tax profit	12,722.6	18,299.0	18,517.7	21,868.3
Provision for taxes	(1,741.4)	(3,106.5)	(2,777.6)	(3,280.2)
Minority interest	—	—	—	—
Preferred dividends	—	—	—	—
Net inc. (pre-exceptionals)	10,981.2	15,192.5	15,740.0	18,588.1
Net inc. (post-exceptionals)	10,981.2	15,192.5	15,740.0	18,588.1
EPS (basic, pre-exception) (\$)	2.58	3.64	3.89	4.73
EPS (diluted, pre-exception) (\$)	2.53	3.58	3.82	4.64
EPS (ex-ESO exp., dil.) (\$)	--	--	--	--
DPS (\$)	—	—	—	—
Div. payout ratio (%)	0.0	0.0	0.0	0.0
Wtd avg shares out. (basic) (mn)	4,249.5	4,172.2	4,044.1	3,930.0
Wtd avg shares out. (diluted) (mn)	4,343.9	4,245.1	4,116.1	4,002.0

Balance Sheet (\$ mn)

	12/25	12/26E	12/27E	12/28E
Cash & cash equivalents	9,033.7	9,452.4	8,031.6	13,573.5
Accounts receivable	—	—	—	—
Inventory	—	—	—	—
Other current assets	3,986.5	4,518.3	5,045.9	5,651.7
Total current assets	13,020.2	13,970.7	13,077.5	19,225.2
Net PP&E	2,004.4	2,576.4	2,901.3	3,183.6
Net intangibles	32,778.4	34,830.6	37,707.6	40,668.4
Total investments	0.0	0.0	0.0	0.0
Other long-term assets	7,794.1	9,099.6	10,169.0	11,396.8
Total assets	55,597.0	60,477.3	63,855.4	74,474.0
Accounts payable	900.6	958.3	1,068.2	1,179.6
Short-term debt	998.9	—	—	—
Current lease liabilities	460.5	433.5	433.5	433.5
Other current liabilities	8,621.0	9,232.8	10,368.9	11,673.1
Total current liabilities	10,980.9	10,624.6	11,870.6	13,286.2
Long-term debt	13,464.0	14,309.3	11,891.3	10,291.3
Non-current lease liabilities	2,052.5	1,948.2	1,948.2	1,948.2
Other long-term liabilities	2,484.1	2,773.1	3,328.0	3,965.0
Total long-term liabilities	18,000.6	19,030.6	17,167.5	16,204.5
Total liabilities	28,981.5	29,655.2	29,038.1	29,490.7
Preferred shares	—	—	—	—
Total common equity	26,615.5	30,822.1	34,817.3	44,983.3
Minority interest	—	—	—	—
Total liabilities & equity	55,597.0	60,477.3	63,855.4	74,474.0
BVPS (\$)	6.30	7.51	8.74	11.54

Cash Flow (\$ mn)

	12/25	12/26E	12/27E	12/28E
Net income	10,981.2	15,192.5	15,740.0	18,588.1
D&A add-back	333.4	433.7	518.6	578.0
Minority interest add-back	—	—	—	—
Net (inc)/dec working capital	(456.2)	(831.6)	(498.7)	(587.4)
Others	(709.1)	(995.3)	(1,719.3)	(1,676.4)
Cash flow from operations	10,149.3	13,799.4	14,040.6	16,902.2
Capital expenditures	(688.2)	(826.9)	(843.4)	(860.3)
Acquisitions	—	—	—	—
Divestitures	—	—	—	—
Others	1,747.1	—	—	—
Cash flow from investing	1,041.7	(1,412.7)	(843.4)	(860.3)
Dividends paid	—	—	—	—
Share issuance/(repurchase)	(8,460.2)	(11,875.7)	(12,200.0)	(8,900.0)
Inc/(dec) in debt	(1,833.5)	—	(2,418.0)	(1,600.0)
Others	383.6	(67.5)	—	—
Cash flow from financing	(9,962.0)	(11,967.9)	(14,618.0)	(10,500.0)
Total cash flow	1,228.9	418.8	(1,420.9)	5,541.9
Free cash flow	9,461.1	12,972.5	13,197.1	16,041.9
Free cash flow per share (basic) (\$)	2.23	3.11	3.26	4.08

Source: Company data, Goldman Sachs Research estimates.

business up for growth outperforming the industry in 2026+). We maintain our Buy rating & lower our PT to \$94 (from \$110) - this PT implies NFLX trading at ~25x / ~20x our revised 2027 and 2028 GAAP EPS estimates, respectively (compared to our 3-year estimated GAAP EPS CAGR of ~22.5% from 2025 to 2028).

Q2'26 Positives/Negatives

Positives: a) Q2 operating income and GAAP EPS above prior guidance and GSe/street estimates despite weaker revenue with management citing the timing of expenses; b) Positive commentary around growth initiatives including Advertising (reiterated \$3bn target for 2026), Live (expanded NFL agreement, 6 out of top 10 new member sign-up days over the past five years have come from Live), & Gaming (two most successful cloud game debuts in June, 3x growth in Netflix Playground); & c) A ramp up in shareholder returns with Q2 buybacks of ~\$4.7bn and ~\$27.1bn remaining on the existing authorization.

Negatives: a) Q3 Revenue guide below prior GSe/Street (and implying a sequential deceleration in YoY growth) with management citing choppy QoQ comps vs a back-half weighted; b) Q3 Operating Income guide below prior GSe/Street driven by elevated sales & marketing and technology & development to progress its advertising, games, and other key growth initiatives; & c) Stable (but continued soft) engagement trends with a reduced cadence of industry-focused engagement disclosures (now being provided annually instead of semi-annually) and a tilt towards more promotional activity (free trials, lower-priced first months).

Exhibit 1: Q2 '26 Actuals vs. Estimates

mm, except per share data

	<u>Actuals</u>	<u>GS</u>	<u>Consensus</u>	<u>Guidance</u>	<u>Actuals vs. GS</u>	<u>Actuals vs. Cons</u>	<u>QoQ Change</u>	<u>YoY Change</u>
Total Revenue	\$ 12,560	\$ 12,577	\$ 12,565	\$12.574bn	-0.1%	0.0%	2.5%	13.4%
UCAN Revenue	\$ 5,432	\$ 5,520	\$ 5,523		-1.6%	-1.6%	3.6%	10.2%
EMEA Revenue	\$ 4,034	\$ 4,034	\$ 4,015		0.0%	0.5%	0.9%	14.0%
LatAM Revenue	\$ 1,584	\$ 1,503	\$ 1,505		5.4%	5.3%	5.8%	21.2%
APAC Revenue	\$ 1,510	\$ 1,521	\$ 1,522		-0.7%	-0.8%	0.1%	15.7%
Operating Income	\$ 4,193	\$ 4,106	\$ 4,124	\$4.105bn	2.1%	1.7%		
% margin	33.4%	32.6%	32.8%	32.6%	74 bps	56 bps		
FCF	\$ 1,525	\$ 2,336	\$ 2,451		-34.7%	-37.8%		
GAAP EPS	\$ 0.80	\$ 0.78	\$ 0.79	\$0.78	2.1%	1.3%		

Source: Company data, Goldman Sachs Global Investment Research, Visible Alpha Consensus Data

Q3'26 & FY2026 Estimate Changes

Q3'26: Total revenues of \$12.87bn (from prior \$13.06bn), operating income of \$4.28bn (from prior \$4.34bn), & GAAP EPS of \$0.82 (from prior \$0.83). **FY2026:** Total revenues of \$51.35bn (from prior \$51.66bn), operating income of \$16.18bn (from prior \$16.27bn), & GAAP EPS of \$3.58 (from prior \$3.60).

Exhibit 2: Q3 '26, 2026, 2027, & 2028 Estimate Changes

mm, except per share data

	Q3 2026			2026			2027			2028		
	Old	New	% Change	Old	New	% Change	Old	New	% Change	Old	New	% Change
Total Revenues	\$ 13,057	\$ 12,868	-1.4%	\$ 51,664	\$ 51,347	-0.6%	\$ 58,594	\$ 57,872	-1.2%	\$ 65,816	\$ 64,894	-1.4%
UCAN Revenues	\$ 5,706	\$ 5,554	-2.7%	\$ 22,558	\$ 22,157	-1.8%	\$ 25,423	\$ 24,605	-3.2%	\$ 28,219	\$ 27,188	-3.7%
EMEA Revenues	\$ 4,180	\$ 4,143	-0.9%	\$ 16,627	\$ 16,590	-0.2%	\$ 18,788	\$ 18,746	-0.2%	\$ 21,090	\$ 21,043	-0.2%
LatAM Revenues	\$ 1,577	\$ 1,618	2.6%	\$ 6,207	\$ 6,379	2.8%	\$ 7,076	\$ 7,336	3.7%	\$ 8,031	\$ 8,400	4.6%
APAC Revenues	\$ 1,594	\$ 1,553	-2.6%	\$ 6,272	\$ 6,221	-0.8%	\$ 7,307	\$ 7,185	-1.7%	\$ 8,476	\$ 8,263	-2.5%
Operating Income	\$ 4,338	\$ 4,276	-1.4%	\$ 16,265	\$ 16,183	-0.5%	\$ 19,744	\$ 19,174	-2.9%	\$ 23,602	\$ 22,457	-4.9%
% margin	33.2%	33.2%	1 bps	31.5%	31.5%	3 bps	33.7%	33.1%	-57 bps	35.9%	34.6%	-126 bps
FCF	\$ 3,394	\$ 3,890	14.6%	\$ 12,989	\$ 12,972	-0.1%	\$ 13,808	\$ 13,197	-4.4%	\$ 17,251	\$ 16,042	-7.0%
Cash content spend	\$ 5,069	\$ 4,792	-5.5%	\$ 19,915	\$ 19,947	0.2%	\$ 21,508	\$ 21,942	2.0%	\$ 22,799	\$ 23,697	3.9%
GAAP EPS	\$ 0.83	\$ 0.82	-1.7%	\$ 3.60	\$ 3.58	-0.6%	\$ 3.94	\$ 3.82	-2.9%	\$ 4.89	\$ 4.64	-5.0%

FY26 reported FCF and EPS benefitted from gross termination fee received of ~\$2.8bn

Source: Goldman Sachs Global Investment Research

Valuation: Maintain Buy Rating; Lower PT to \$94 (from \$110)

Our \$94 (\$110 prior), 12-month price target is based on an equal blend of: (1) EV/GAAP EBITDA applied to our NTM + 1 year estimates and; (2) a modified DCF using EV/FCF-SBC multiple applied to our NTM + 4 years estimates discounted back 3 years. Specifically:

- 20.0x EV/GAAP EBITDA (from 22.5x prior) or 0.99x EV/GAAP EBITDA-to-growth (from 1.04x prior) applied to our NTM + 1 year estimates. We lower our absolute multiple to reflect reduced visibility into forward operating performance and apply a 20.0x multiple to maintain our prior ~1.0x multiple-to-growth ratio.
- 21.0x EV/FCF-SBC multiple (from 24.0x prior) or 1.06x EV/FCF-SBC-to-growth (from 1.07x prior) applied to our NTM + 4 years estimates discounted back 3 years at 12%. We lower our applied absolute multiple to reflect our lower confidence in NFLX's forward FCF trajectory and apply a 21.0x multiple to maintain our prior ~1.1x multiple-to-growth. The discount rate represents CAPM using the blended average of companies within our coverage universe consisting of: (1) 3% risk free rate (based on the normalized 10-year rate); (2) average beta of ~1.3; (3) equity risk premium of 7%.

Exhibit 3: NFLX Valuation Analysis

\$mm except per share data

Scenario Analysis			
	Downside	Base	Upside
Valuation	\$ 54	\$ 94	\$ 118
% upside/downside	-20%	39%	74%
GAAP EBITDA (NTM)	\$ 15,308	\$ 17,603	\$ 18,589
EBITDA Margin %	28.0%	32.2%	34.0%
GAAP EBITDA (NTM + 1 year)	\$ 19,608	\$ 21,287	\$ 22,059
EBITDA Margin %	32.0%	34.7%	36.0%
EV / EBITDA	12.0x	20.0x	24.0x
EBITDA CAGR	15.4%	20.2%	22.4%
EV / EBITDA to Growth	0.78x	0.99x	1.07x
Enterprise Value	\$ 235,298	\$ 425,739	\$ 529,422
FCF-SBC (NTM + 4 yrs)	\$ 21,780	\$ 24,007	\$ 25,131
FCF-SBC % of Sales	26.0%	28.7%	30.0%
EV / FCF-SBC	16.0x	21.0x	24.0x
FCF-SBC CAGR	16.0%	19.8%	21.6%
EV / FCF-SBC-to-Growth	1.00x	1.06x	1.11x
Discount Rate	15.0%	12.0%	10.0%
Discount Period (Years)	3	3	3
Enterprise Value (NTM + 3 years)	\$ 348,478	\$ 504,141	\$ 603,135
Discounted Enterprise Value (NTM)	\$ 229,130	\$ 358,838	\$ 453,145
Weightings			
EV derived from GAAP EBITDA	50%	50%	50%
EV derived from (FCF-SBC)	50%	50%	50%
Enterprise Value	\$ 232,214	\$ 392,288	\$ 491,283
Capital Structure Adjustments			
Adjusted Net Debt - NTM Ending	\$ 5,429	\$ 5,429	\$ 5,429
Adjusted Shares Outstanding	4,132	4,132	4,132

Source: Goldman Sachs Global Investment Research

Risks to our Buy rating include: subscriber growth (disappointing to the downside vs. our estimates); timing and magnitude of price increases and resulting impact on churn levels could result in lower operating estimates; slower than expected execution on ad-supported tier initiative; M&A and related risks (integration, execution, regulatory, etc.); and levels of industry competition & impact on subscriber growth, original content and consumer attention.

Disclosure Appendix

Reg AC

We, Eric Sheridan, Stephen Laszczyk, Antares Tobelem, Alex Vegliante, CFA and Emma Huang, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

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Growth is based on a stock's forward-looking sales growth, EBITDA growth and EPS growth (for financial stocks, only EPS and sales growth), with a higher percentile indicating a higher growth company. **Financial Returns** is based on a stock's forward-looking ROE, ROCE and CROCI (for financial stocks, only ROE), with a higher percentile indicating a company with higher financial returns. **Multiple** is based on a stock's forward-looking P/E, P/B, price/dividend (P/D), EV/EBITDA, EV/FCF and EV/Debt Adjusted Cash Flow (DACF) (for financial stocks, only P/E, P/B and P/D), with a higher percentile indicating a stock trading at a higher multiple. The **Integrated** percentile is calculated as the average of the Growth percentile, Financial Returns percentile and (100% - Multiple percentile).

Financial Returns and Multiple use the Goldman Sachs analyst forecasts at the fiscal year-end at least three quarters in the future. Growth uses inputs for the fiscal year at least seven quarters in the future compared with the year at least three quarters in the future (on a per-share basis for all metrics).

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Quantum

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Goldman Sachs had a non-securities services client relationship during the past 12 months with: Netflix Inc. (\$74.35)

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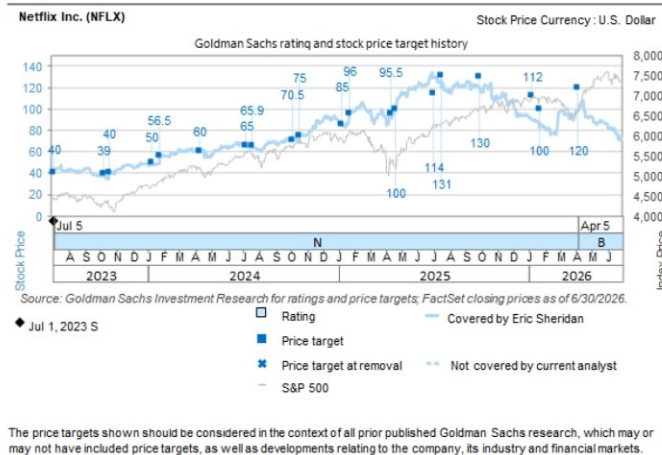
Distribution of ratings/investment banking relationships

Goldman Sachs Investment Research global Equity coverage universe

	Rating Distribution			Investment Banking Relationships		
	Buy	Hold	Sell	Buy	Hold	Sell
Global	50%	34%	16%	65%	59%	43%

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Price target and rating history chart(s)



Target price history table(s)

Netflix Inc. (NFLX)

Date of report	Target price (\$)	Closing price (\$)
06-Jul-26	110.00	76.02
06-Apr-26	120.00	98.93
21-Jan-26	100.00	85.36
09-Jan-26	112.00	89.46
29-Sep-25	1,300.00	120.64
18-Jul-25	1,310.00	120.92
02-Jul-25	1,140.00	128.49
21-Apr-25	1,000.00	98.79
11-Apr-25	955.00	91.83
22-Jan-25	960.00	95.40
08-Jan-25	850.00	87.50
18-Oct-24	750.00	76.39
04-Oct-24	705.00	71.97
19-Jul-24	659.00	63.33
08-Jul-24	650.00	68.57
09-Apr-24	600.00	61.82
24-Jan-24	565.00	54.49
09-Jan-24	500.00	48.21
19-Oct-23	400.00	40.18
09-Oct-23	390.00	38.60

Price targets shown in table(s) are unadjusted for corporate actions.

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